Note 17 Profit Sharing, Retirement Savings Plans and Defined Benefit Pension Plans

Profit Sharing and Retirement Savings Plans

We have a qualified non-contributory profit sharing plan covering most of our U.S. employees. Contributions to this plan, which are made at the discretion of our Board of Directors, may be made in cash, shares of our common stock, or in a combination of cash and shares of our common stock. We also maintain a qualified contributory retirement savings plan in which most of our U.S. employees are eligible to participate. The qualified contributory retirement savings plans generally provide for our contributions in cash based upon the amount contributed to the plans by the participants.

Our contributions to our profit sharing plan accrual and retirement savings plans are charged to operations and amounted to $39.3 million in 2019, $36.3 million in 2018 and $39.9 million in 2017. In 2019, 487,108 shares were contributed as part of our contribution to the profit sharing plan related to 2018; in 2018, 538,524 shares were contributed as part of our contribution to the profit sharing plan related to 2017, and in 2017, 502,519 shares were contributed as part of our contribution to the profit sharing plan related to 2016. These shares were issued out of treasury stock.

We have various international defined contribution benefit plans which cover certain employees. We have expanded use of these plans in select countries where they have been used to supplement or replace defined benefit plans.

Defined Benefit Pension Plans

We recognize the funded status of each defined pension benefit plan as the difference between the fair value of plan assets and the projected benefit obligation of the employee benefit plans in the Consolidated Balance Sheets, with a corresponding adjustment to accumulated other comprehensive loss, net of taxes. Each overfunded plan is recognized as an asset and each underfunded plan is recognized as a liability on our Consolidated Balance Sheets. Subsequent changes in the funded status are reflected on the Consolidated Balance Sheets in unrecognized pension items, a component of AOCL, which are included in total stockholders' deficit. The amount of unamortized pension items is recorded net of tax.

We have amortized actuarial gains or losses over the average future working lifetime (or remaining lifetime of inactive participants if there are no active participants). We have used the corridor method, where the corridor is the greater of ten percent of the projected benefit obligation or fair value of assets at year end. If actuarial gains or losses do not exceed the corridor, then there is no amortization of gain or loss.

During the year ended December 31, 2017, several of our pension plans transferred in the sale of Diversey. Two international plans were split between Diversey and Sealed Air at the close of the sale. Unless noted, the tables in this disclosure show only activity related to plans retained by Sealed Air.

The following table shows the components of our net periodic benefit cost for the three years ended December 31, for our pension plans charged to operations:

	Year Ended December 31,		
(In millions)	**2019**	**2018**	**2017**
Net periodic benefit (income) cost:			
U.S. and international net periodic benefit cost included in cost of sales[1]	$ 1.1	$ 0.8	$ 1.4
U.S. and international net periodic benefit cost included in selling, general and administrative expenses	2.8	3.5	5.6
U.S. and international net periodic benefit (income) included in other (income) expense	(4.4)	(8.4)	(6.0)
Total benefit (income) cost	**$ (0.5)**	**$ (4.1)**	**$ 1.0**

[1] The amount recorded in inventory for the years ended December 31, 2019, 2018 and 2017 was not material.

A number of our U.S. employees, including some employees who are covered by collective bargaining agreements, participate in defined benefit pension plans. Some of our international employees participate in defined benefit pension plans in their respective countries. The following table presents our funded status for 2019 and 2018 for our U.S. and